Introduction of Best Practice
- Lubricants Centralized Purchasing -

Product Marketing Group,
International Parts Dept,
ISUZU MOTORS LIMITED

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1. ISUZU Policy for Lubricant Business
2. ASEAN Lubricant Centralized Purchasing
3. Benefits of Lubricant Centralized Purchasing

1. ISUZU Policy for Lubricant Business

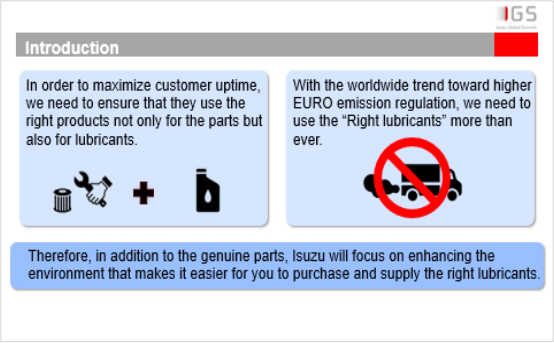
Isuzu Group promotes PMS standardization as part of its aftersales strategy,
with the objective of supporting vehicle uptime and stable operations.

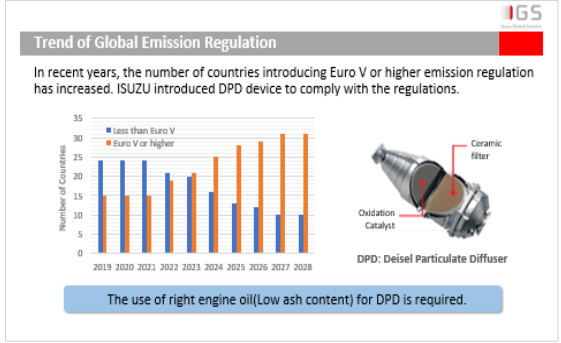
Oil change is one of the most frequent PMS-related services and plays a critical role in vehicle performance and reliability.

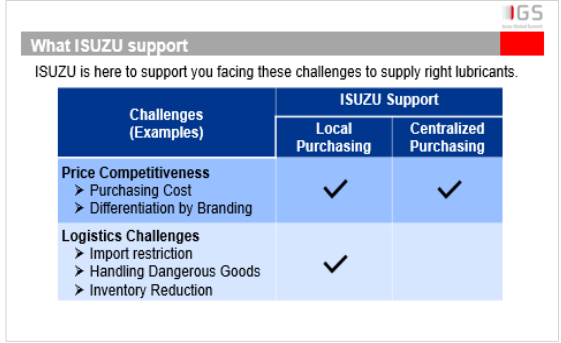
To support this objective, Isuzu has explored structured approaches to lubricant management,
including centralized purchasing, to improve cost competitiveness while maintaining quality.

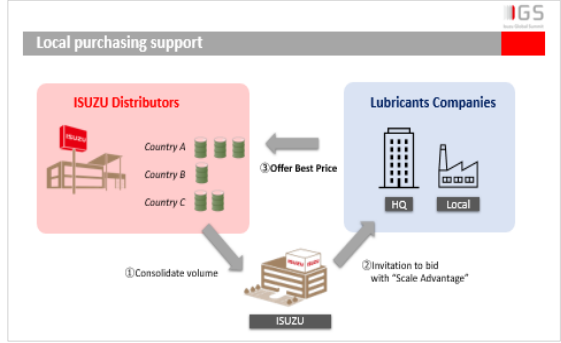
The following material introduces a best practice from ASEAN,
which serves as a reference for ISZE when considering a coordination role in Europe.

ISUZU Policy Presented in IGS(ISUZU Global Summit) 2023









2. ASEAN Lubricant Centralized Purchasing

- As the first attempt, we started centralized purchasing from 3 countries of ASEAN.

ISUZU Local Entities



Lubricant Suppliers

Chevron

Shell

TotalEnergies

- ✓ Gathering volume
- ✓ Adjust conditions
- ✓ Hearing concerns

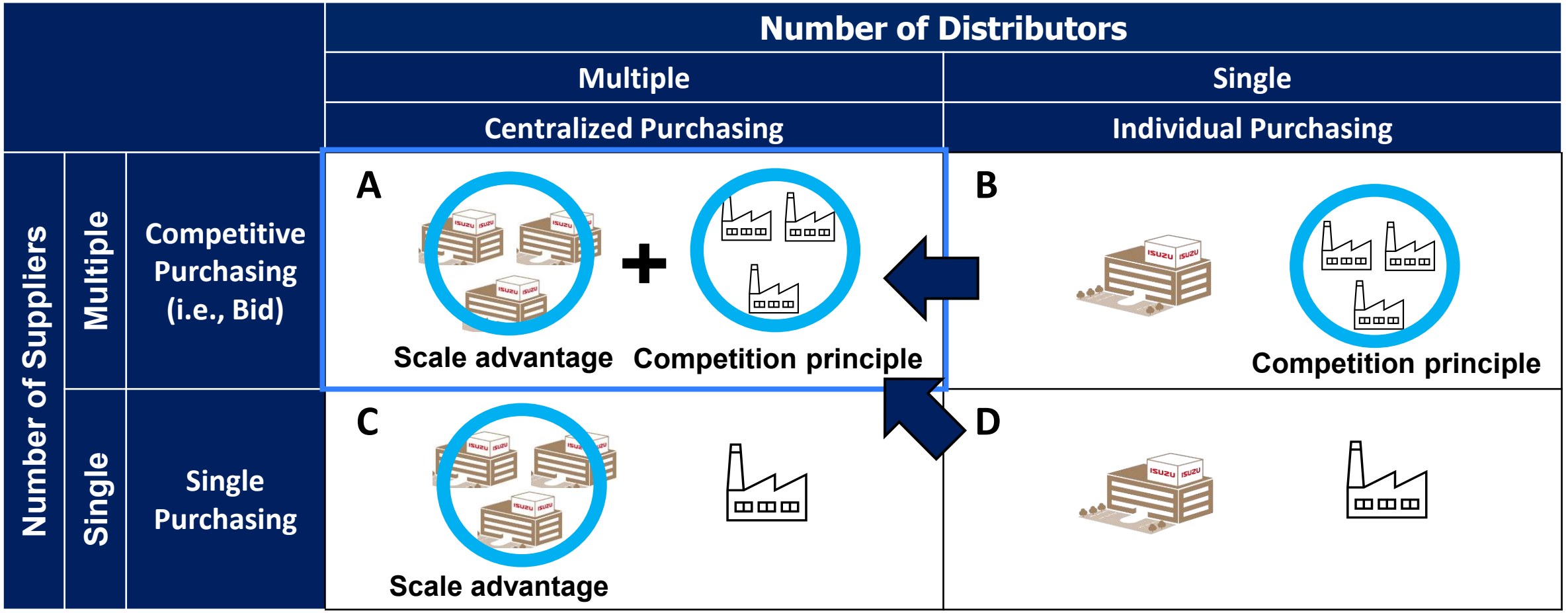
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- ✓ Price negotiation
- ✓ Building logistic route
- ✓ Minimize negative impacts

2. ASEAN Lubricant Centralized Purchasing

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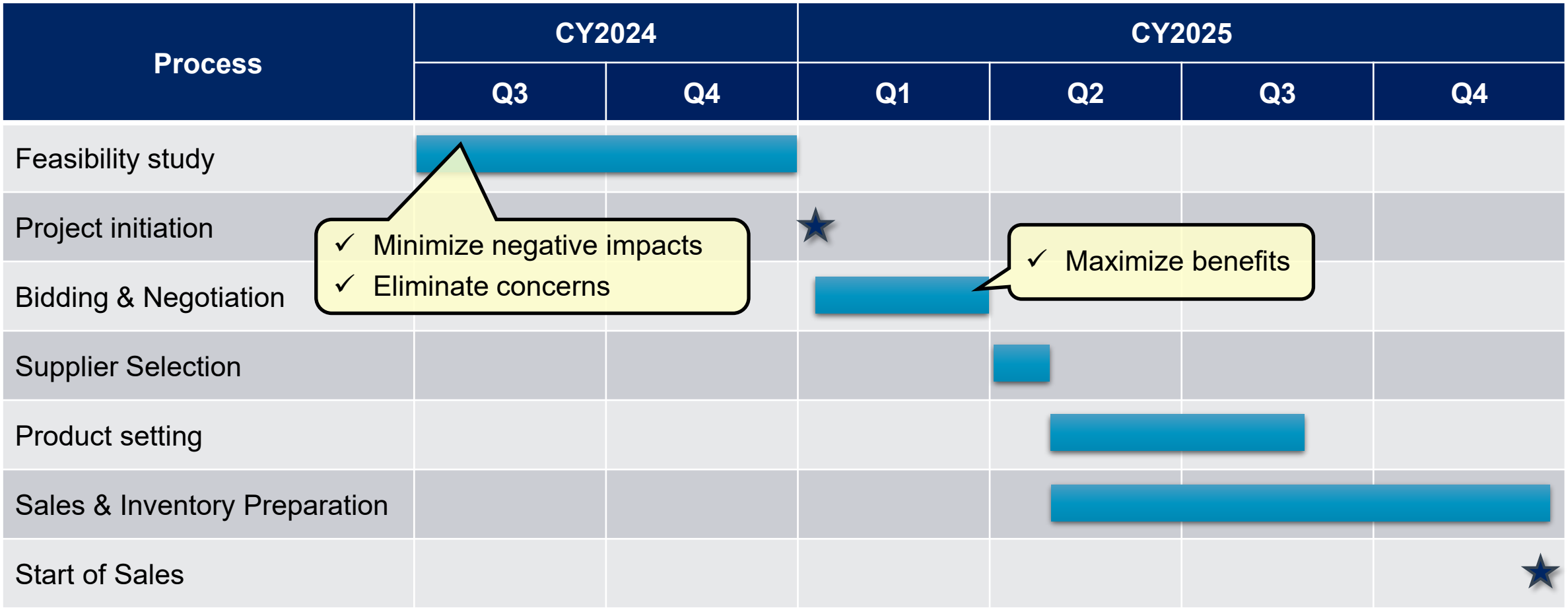
■ Cost reduction is maximized by “Scale Advantage” × “Competition Principle”.



2. ASEAN Lubricant Centralized Purchasing

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- Entire process takes about 1 and half year.
- Bidding and Feasibility Study are important. In Feasibility Study phase, we minimize negative impacts.



2. ASEAN Lubricant Centralized Purchasing

● =No change or improved
● =Slightly worsen, but acceptable
● =Worsen , and NOT acceptable

■ We review negative impacts that is caused by supplier switch in terms of QCD and others.
Also, we request suppliers to minimize the negative impacts and solve them.

Items to be considered		Distributor			Distributor Requirements
		A	B	C	
Quality	Lubrication performance, etc.	●	●	●	
Cost	Product cost	●	●	●	10~20% lower than current price. *1
	Frequency of cost revision ✓	●	●	●	Every 1 year
Delivery	Delivery MOQ ✓	●	●	●	MOQ 400L / Delivery
	Delivery location	●	●	●	
	Delivery lead time ✓	●	●	●	5 days
	Fill rate / Inventory turnover ✓	● ⇒ ●	●	●	100% or 6month
Others	Order convenience ✓	● ⇒ ●	●	●	Automated order system
	Marketing support	●	●	●	
	Supply/Production capacity	●	●	●	
	Warranty periods	●	●	●	

2. ASEAN Lubricant Centralized Purchasing

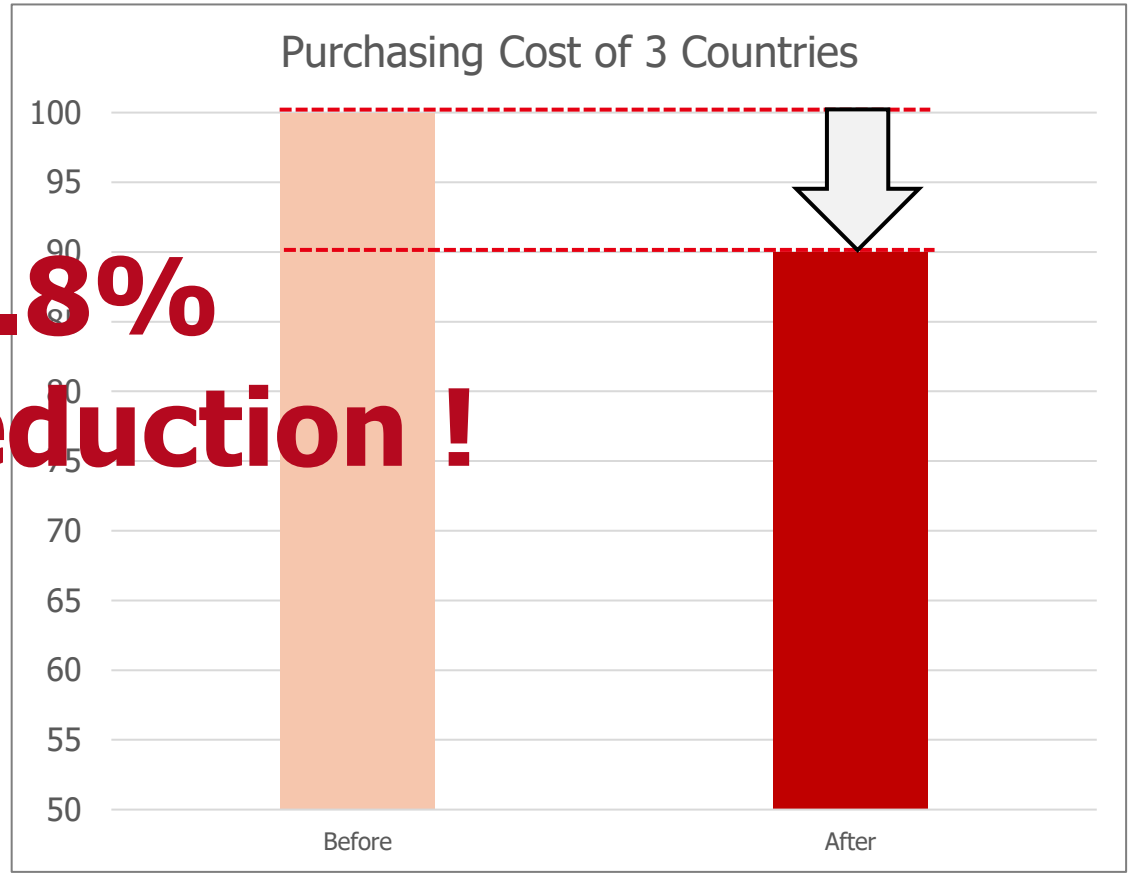
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- The cost reduction result of Centralized Purchasing of ASEAN market



Distributer	Annual Vol.
A	688 kL
B	635 kL
C	365 kL

10.8%
Cost Reduction !



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